

Growth costs

According to T V Mohandas Pai, Head of HRD and Education and Research, Infosys, salary hikes and employee promotions costed the company Rs. 590 crore last quarter

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Entrepreneurship

We also concentrated on getting some really smart people. I visited IIT Bombay, where professors like G Venkatesh and Sunil Sherlekar, who later joined us, were doing cutting-edge work in the communication technologies field.

We began sponsoring projects for Rs 10,000 a year; the money helped students get a masters degree in technology and helped us strike up a relationship with some of the best brains on campus. This fuelled our technical developments. By 1995, we had become a destination for quality talent. The same year, Suresh and Badru, spun off our chip design simulator product into another company and left.

Three significant decisions helped boost our stand in the market. We started working in GSM with Nortel, not realising that this would become the de facto world standard. Secondly, we were working on ADSL

technology, which we licensed some of that work to a company in the Valley in 1998. Thirdly, we began work on 3G WCDMA technology – a pretty ambitious move at that time. The credit for these decisions primarily lies with Venkatesh, whose technical expertise and knowledge helped us spot trends well in advance.

Four years later, Intel and Citibank channelled US\$10 million into Sasken for a 10 per cent stake. We used that money to build our Bangalore facilities.

In 2000, we decided to focus our energies better. We removed electronic design automation from our bouquet of services. Our turnover grew from US\$17 million in 1999 to US\$28 million the next year – simply because we were more focussed.

As an entrepreneur, my biggest challenge has been to transform from being someone

who is passionate about something to a person who can look at things holistically. I learnt to step back and see if the object of my affection is actually good for business.

At the turn of the century, the tech bubble went bust. We had to ask people to take a 20 per cent pay cut. The gloomy air and the nervousness of that August afternoon reminded me of my teaching days. I learnt that day that when people see your vulnerabilities, they usually understand you, and accept that these are temporary times.

Three years later, we went for a public listing. Those were heady days; like being on opium. We were oversubscribed 72 times. Later that year, we were voted the second-best place to work at by a survey.

In 2006, we acquired Botnia Hitech in Finland for US\$45 million to get close to

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Nokia, as a customer. Our plan worked; it is our single largest customer. That same year, we also set up shop in Mexico.

Then, in 2008, the economy cratered and survival became the order of the day. At the same time, Texas Instruments exited the chip design space. This was really bad news for us, since they were a partner. Tough times bring on tough decisions. I had to ask Hari Iyer, head of HR, and Sri Kannan-kote, head of marketing, sales and offerings, to resign. We started downsizing from the top. Since then, we have been focussing largely on raising the bar on our efficiency.

We are now working to finish the satellite phone. The launch date is July. Our cell phones transmit a signal one or two km to the closest transmission tower. A satellite-phone signal will be able to push past 36,000 km, and yet not kill the six-hour battery-life of the phone. It's a project that has almost come to represent the next frontier. We are proud of this accomplishment.

I believe it is important for every person to challenge themselves to do things that seem impossible. The hardest part is the act of doing something; once you take the plunge, there is nothing more gratifying. The journey that follows is your reward. **d**



Resonance of success, Rajiv Mody ringing the bell at the Bombay Stock Exchange in 2005. The public issue was oversubscribed 72 times.

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